



## **GEST-S2701 – Exercise Session 3**

# **ES 4. Depreciations + Impairment Losses + Provisions**

2025-2026

## Exercise 4.1

The company ABC acquires for cash a truck on 01/10/2023 at a price of €36,000 (acquisition cost) + €4,000 (ancillary costs) + 21% VAT.

## Exercise 4.1.1

- 1) Record in the journal the acquisition transaction of the truck.

## Exercise 4.1.1 – 1) Journal entry

- Journal entry

| Date       | N° SCA |        | Name                                      | Amount (€) |        |
|------------|--------|--------|-------------------------------------------|------------|--------|
|            | Debit  | Credit |                                           | Debit      | Credit |
| 01-10-2023 | 24.0   |        | Furniture and vehicles: Acquisition value | 40,000     |        |
|            | 411    |        | VAT receivable                            | 8,400      |        |
|            |        | 440    | Suppliers                                 |            | 48,400 |
|            | 440    |        | Suppliers                                 | 48,400     |        |
|            |        | 550.0  | Credit institutions: Current account      |            | 48,400 |

## Exercise 4.1.1

2) Identify the direct and indirect impacts on cash flows.

## Exercise 4.1.1 – 2) Cash flows

- Impact on cash flows

| Timing                                                               | CF <sub>op</sub><br>(1) | CF <sub>inv</sub><br>(2) | FCF<br>(3) = (1) + (2) | CF <sub>fin</sub><br>(4) | Δ CASH<br>(5) = (3) + (4) |
|----------------------------------------------------------------------|-------------------------|--------------------------|------------------------|--------------------------|---------------------------|
| <i>Direct impact:</i><br>at accounting entry                         | -8,400                  | -40,000                  | -48,400                | 0                        | -48,400                   |
| <i>VAT indirect impact:</i><br>at VAT settlement                     | +8,400                  | 0                        | +8,400                 | 0                        | +8,400                    |
| <i>Corporate tax indirect impact:</i><br>at corporate tax settlement | 0                       | 0                        | 0                      | 0                        | 0                         |
| <b>Total impact</b>                                                  | <b>0</b>                | <b>-40,000</b>           | <b>-40,000</b>         | <b>0</b>                 | <b>-40,000</b>            |

## Exercise 4.1.1

- 3) Prepare the depreciation schedule for this truck, based on straight-line depreciation and an estimated useful life of 5 years.

## Exercise 4.1.1 – 3) Depreciation schedule

|                           |              |
|---------------------------|--------------|
| <b>Acquisition value</b>  | 40,000       |
| <b>Acquisition date</b>   | 01/10/2023   |
| <b>Useful life</b>        | 5 ans        |
| <b>Straight-line rate</b> | $1/5 = 20\%$ |

| <b>Years</b> | <b>Depreciation expense</b>    | <b>Accumulated depreciation</b> | <b>Net book value</b>     |
|--------------|--------------------------------|---------------------------------|---------------------------|
| 2023         | $2,000 = 40,000 * 20\% * 3/12$ | 2,000                           | $38,000 = 40,000 - 2,000$ |
| 2024         | $8,000 = 40,000 * 20\%$        | 10,000                          | 30,000                    |
| 2025         | 8,000                          | 18,000                          | 22,000                    |
| 2026         | 8,000                          | 26,000                          | 14,000                    |
| 2027         | 8,000                          | 34,000                          | 6,000                     |
| 2028         | 6,000                          | 40,000                          | 0                         |



## Exercise 4.1.1

4) Record in the journal the depreciation as of 31/12/2023 (pro rata temporis).

## Exercise 4.1.1 – 4) Year-end journal

- Journal entry

| Date       | N° SCA |        | Name                                             | Amount (€) |        |
|------------|--------|--------|--------------------------------------------------|------------|--------|
|            | Debit  | Credit |                                                  | Debit      | Credit |
| 31-12-2023 | 6302   |        | Depreciation allowances on tangible fixed assets | 2,000      |        |
|            |        | 24.9   | Furniture and vehicles: Accumulated depreciation |            | 2,000  |

## Exercise 4.1.1

- 5) Identify the direct and indirect impacts on cash flows.

## Exercise 4.1.1 – 5) Cash flows of closing entries

- Impact on cash flows

| Timing                                                               | CF <sub>op</sub> | CF <sub>inv</sub> | FCF             | CF <sub>fin</sub> | Δ CASH          |
|----------------------------------------------------------------------|------------------|-------------------|-----------------|-------------------|-----------------|
|                                                                      | (1)              | (2)               | (3) = (1) + (2) | (4)               | (5) = (3) + (4) |
| <b>Direct impact:</b><br>at accounting entry                         | 0                | 0                 | 0               | 0                 | 0               |
| <b>VAT indirect impact:</b><br>at VAT settlement                     | 0                | 0                 | 0               | 0                 | 0               |
| <b>Corporate tax indirect impact:</b><br>at corporate tax settlement | +500             | 0                 | +500            | 0                 | +500            |
| <b>Total impact</b>                                                  | <b>+500</b>      | <b>0</b>          | <b>+500</b>     | <b>0</b>          | <b>+500</b>     |

## Exercise 4.1.1

- 6) Based on the depreciation schedule, what would happen, from an accounting and cash flow perspective, if:
  - a) During 2025, the company decided to sell the truck for cash for an amount of €32,000 excl. VAT.

## Exercise 4.1.1 – 6a) Sale in 2025

- Journal entry

| Date       | N° SCA |                  | Name                                                          | Amount (€) |        |
|------------|--------|------------------|---------------------------------------------------------------|------------|--------|
|            | Debit  | Credit           |                                                               | Debit      | Credit |
| XX-XX-2025 | 400    |                  | Customers (AR)                                                | 38,720     |        |
|            | 24.9   |                  | Furniture and vehicles: Accumulated depreciation              | 10,000     |        |
|            |        | 24.0             | Furniture and vehicles: Acquisition value                     |            | 40,000 |
|            |        | 741 (ou<br>7630) | Capital profits on ordinary disposal of tangible fixed assets |            | 2,000  |
|            |        | 451              | VAT payable                                                   |            | 6,720  |
|            | 550.0  |                  | Credit institutions: Current account                          | 38,720     |        |
|            |        | 400              | Customers (AR)                                                |            | 38,720 |



**In 2025 (from 31/12/2024), accumulated depreciation on the truck amounts to €10,000.**

## Exercise 4.1.1 – 6a) Sale in 2025

- Impact on cash flows

| Timing                                                               | CF <sub>op</sub><br>(1) | CF <sub>inv</sub><br>(2) | FCF<br>(3) = (1) + (2) | CF <sub>fin</sub><br>(4) | Δ CASH<br>(5) = (3) + (4) |
|----------------------------------------------------------------------|-------------------------|--------------------------|------------------------|--------------------------|---------------------------|
| <b>Direct impact:</b><br>at accounting entry                         | +6,720                  | +32,000                  | +38,720                | 0                        | +38,720                   |
| <b>VAT indirect impact:</b><br>at VAT settlement                     | -6,720                  | 0                        | -6,720                 | 0                        | -6,720                    |
| <b>Corporate tax indirect impact:</b><br>at corporate tax settlement | -500                    | 0                        | -500                   | 0                        | -500                      |
| <b>Total impact</b>                                                  | <b>-500</b>             | <b>+32,000</b>           | <b>+31,500</b>         | <b>0</b>                 | <b>+31,500</b>            |

## Exercise 4.1.1

- 6) Based on the depreciation schedule, what would happen, from an accounting and cash flow perspective, if:
  - b) During 2026, following a road accident, the truck is written off by the insurance company and the wreck is sold for €5,500 excl. VAT.



## Exercise 4.1.1 – 6b) Written off 2026

- Journal entry

| Date       | N° SCA           |        | Name                                                           | Amount (€) |        |
|------------|------------------|--------|----------------------------------------------------------------|------------|--------|
|            | Debit            | Credit |                                                                | Debit      | Credit |
| XX-XX-2026 | 400              |        | Customers (AR)                                                 | 6,655      |        |
|            | 24.9             |        | Furniture and vehicles: Accumulated depreciation               | 18,000     |        |
|            | 641 (ou<br>6630) |        | Capital losses on ordinary disposal of [tangible] fixed assets | 16,500     |        |
|            |                  | 24.0   | Furniture and vehicles: Acquisition value                      |            | 40,000 |
|            |                  | 451    | VAT payable                                                    |            | 1,155  |
|            | 550.0            |        | Credit institutions: Current account                           | 6,655      |        |
|            |                  | 400    | Customers (AR)                                                 |            | 6,655  |



**In 2026 (since 31/12/2025), the depreciation recorded on the truck is worth €18,000.**

## Exercise 4.1.1 – 6b) Written off 2026

- Impact on cash flows

| Timing                                                               | CF <sub>op</sub><br>(1) | CF <sub>inv</sub><br>(2) | FCF<br>(3) = (1) + (2) | CF <sub>fin</sub><br>(4) | Δ CASH<br>(5) = (3) + (4) |
|----------------------------------------------------------------------|-------------------------|--------------------------|------------------------|--------------------------|---------------------------|
| <b>Direct impact:</b><br>at accounting entry                         | +1,155                  | +5,500                   | +6,655                 | 0                        | +6,655                    |
| <b>VAT indirect impact:</b><br>at VAT settlement                     | -1,155                  | 0                        | -1,155                 | 0                        | -1,155                    |
| <b>Corporate tax indirect impact:</b><br>at corporate tax settlement | +4,125                  | 0                        | +4,125                 | 0                        | +4,125                    |
| <b>Total impact</b>                                                  | <b>+4,125</b>           | <b>+5,500</b>            | <b>+9,625</b>          | <b>0</b>                 | <b>+9,625</b>             |

## Exercise 4.1.2

Repeat the exercise in the event that ABC is a small company wishing to minimise its tax burden for 2023.

## Exercise 4.1.2 – 1) Journal

- Journal entry

| Date       | N° SCA |        | Name                                      | Amount (€) |        |
|------------|--------|--------|-------------------------------------------|------------|--------|
|            | Debit  | Credit |                                           | Debit      | Credit |
| 01-10-2023 | 24.0   |        | Furniture and vehicles: Acquisition value | 40,000     |        |
|            | 411    |        | VAT receivable                            | 8,400      |        |
|            |        | 440    | Suppliers                                 |            | 48,400 |
|            | 440    |        | Suppliers                                 | 48,400     |        |
|            |        | 550.0  | Credit institutions: Current account      |            | 48,400 |

## Exercise 4.1.2 – 2) Cash flows

- Impact on cash flows

| Timing                                                               | CF <sub>op</sub><br>(1) | CF <sub>inv</sub><br>(2) | FCF<br>(3) = (1) + (2) | CF <sub>fin</sub><br>(4) | Δ CASH<br>(5) = (3) + (4) |
|----------------------------------------------------------------------|-------------------------|--------------------------|------------------------|--------------------------|---------------------------|
| <b>Direct impact:</b><br>at accounting entry                         | -8,400                  | -40,000                  | -48,400                | 0                        | -48,400                   |
| <b>VAT indirect impact:</b><br>at VAT settlement                     | +8,400                  | 0                        | +8,400                 | 0                        | +8,400                    |
| <b>Corporate tax indirect impact:</b><br>at corporate tax settlement | 0                       | 0                        | 0                      | 0                        | 0                         |
| <b>Total impact</b>                                                  | <b>0</b>                | <b>-40,000</b>           | <b>-40,000</b>         | <b>0</b>                 | <b>-40,000</b>            |

## Exercise 4.1.2 – 3) Depreciation schedule

|                                                          |              |
|----------------------------------------------------------|--------------|
| <b>Acquisition value (excluding incidental expenses)</b> | 36,000       |
| <b>Acquisition value incidental expenses</b>             | 4,000        |
| <b>Acquisition date</b>                                  | 01/10/2023   |
| <b>Useful life</b>                                       | 5 ans        |
| <b>Straight-line rate</b>                                | $1/5 = 20\%$ |

*With regard to intangible or tangible fixed assets acquired by small companies, incidental costs may be amortised (or charged) in full during the financial year in which they are incurred.*

| <b>Years</b> | <b>Depreciation expense</b>            | <b>Accumulated depreciation</b> | <b>Net book value</b>     |
|--------------|----------------------------------------|---------------------------------|---------------------------|
| 2023         | $5,800 = 4,000 + 36,000 * 20\% * 3/12$ | 5,800                           | $34,200 = 40,000 - 5,800$ |
| 2024         | $7,200 = 36,000 * 20\%$                | 13,000                          | 27,000                    |
| 2025         | 7,200                                  | 20,200                          | 19,800                    |
| 2026         | 7,200                                  | 27,400                          | 12,600                    |
| 2027         | 7,200                                  | 34,600                          | 5,400                     |
| 2028         | 5,400                                  | 40,000                          | 0                         |

## Exercise 4.1.2 – 4) Year-end journal

- Journal entry

| Date       | N° SCA |        | Name                                             | Amount (€) |        |
|------------|--------|--------|--------------------------------------------------|------------|--------|
|            | Debit  | Credit |                                                  | Debit      | Credit |
| 31-12-2023 | 6302   |        | Depreciation allowances on tangible fixed assets | 5,800      |        |
|            |        | 24.9   | Furniture and vehicles: Accumulated depreciation |            | 5,800  |

## Exercise 4.1.2 – 5) Cash flows of closing entries

- Impact on cash flows

| Timing                                                               | CF <sub>op</sub><br>(1) | CF <sub>inv</sub><br>(2) | FCF<br>(3) = (1) + (2) | CF <sub>fin</sub><br>(4) | Δ CASH<br>(5) = (3) + (4) |
|----------------------------------------------------------------------|-------------------------|--------------------------|------------------------|--------------------------|---------------------------|
| <b>Direct impact:</b><br>at accounting entry                         | 0                       | 0                        | 0                      | 0                        | 0                         |
| <b>VAT indirect impact:</b><br>at VAT settlement                     | 0                       | 0                        | 0                      | 0                        | 0                         |
| <b>Corporate tax indirect impact:</b><br>at corporate tax settlement | +1,450                  | 0                        | +1,450                 | 0                        | +1,450                    |
| <b>Total impact</b>                                                  | <b>+1,450</b>           | <b>0</b>                 | <b>+1,450</b>          | <b>0</b>                 | <b>+1,450</b>             |



## Exercise 4.2.1

For each of the exercises below, record the transactions in the journal and identify the direct and indirect impacts on cash flows for ABC.

- 1) On 07/09/2023, ABC company made a sale of €60,000 + 21% VAT to customer EFG. This receivable is payable 30 days after the end of the month.

## Exercise 4.2.1 – Operation #1

- Journal entry

| Date       | N° SCA |        | Name                        | Amount (€) |        |
|------------|--------|--------|-----------------------------|------------|--------|
|            | Debit  | Credit |                             | Debit      | Credit |
| 07-09-2023 | 400    |        | Customers                   | 72,600     |        |
|            |        | 700    | Sales and services rendered |            | 60,000 |
|            |        | 451    | VAT payable                 |            | 12,600 |

## Exercise 4.2.1 – Operation #1

- Impact on cash flows

| Timing                                                               | CFop<br>(1)    | CFinv<br>(2) | FCF<br>(3) = (1) + (2) | CFfin<br>(4) | Δ CASH<br>(5) = (3) + (4) |
|----------------------------------------------------------------------|----------------|--------------|------------------------|--------------|---------------------------|
| <b>Direct impact:</b><br>at accounting entry                         | 0              | 0            | 0                      | 0            | 0                         |
| <b>VAT indirect impact:</b><br>at VAT settlement                     | -12,600        | 0            | -12,600                | 0            | -12,600                   |
| <b>Corporate tax indirect impact:</b><br>at corporate tax settlement | -15,000        | 0            | -15,000                | 0            | -15,000                   |
| <b>Total impact</b>                                                  | <b>-27,600</b> | <b>0</b>     | <b>-27,600</b>         | <b>0</b>     | <b>-27,600</b>            |

## Exercise 4.2.1

- 2) On 31/12/2023, noting that the debt remains unpaid, that reminders to her client have been unsuccessful and that, after making enquiries, it appears that her client is indeed experiencing serious financial difficulties, it decided to record a 45% write-down, as its client had indicated that it could repay a maximum of €39,930 including VAT.

## Exercise 4.2.1 – Operation #2

- Journal entry

| Date       | N° SCA |        | Name                                                                     | Amount (€) |        |
|------------|--------|--------|--------------------------------------------------------------------------|------------|--------|
|            | Debit  | Credit |                                                                          | Debit      | Credit |
| 31-12-2023 | 407    |        | Doubtful amounts                                                         | 72,600     |        |
|            |        | 400    | Customers                                                                |            | 72,600 |
|            | 6340   |        | Amounts written down on trade debtors within one year:<br>Appropriations | 27,000     |        |
|            |        | 409    | Amounts written down - recorded (-)                                      |            | 27,000 |

The customer suggests that they can pay a maximum of €39,930 including VAT, or €33,000 excluding VAT.

- Amounts written down on AR=  $60,000 * 0,45 = 27,000€ = 60,000 - 33,000$

## Exercise 4.2.1 – Operation #2

- Impact on cash flows

| Timing                                                               | CF <sub>op</sub><br>(1) | CF <sub>inv</sub><br>(2) | FCF<br>(3) = (1) + (2) | CF <sub>fin</sub><br>(4) | Δ CASH<br>(5) = (3) + (4) |
|----------------------------------------------------------------------|-------------------------|--------------------------|------------------------|--------------------------|---------------------------|
| <b>Direct impact:</b><br>at accounting entry                         | 0                       | 0                        | 0                      | 0                        | 0                         |
| <b>VAT indirect impact:</b><br>at VAT settlement                     | 0                       | 0                        | 0                      | 0                        | 0                         |
| <b>Corporate tax indirect impact:</b><br>at corporate tax settlement | +6,750                  | 0                        | +6,750                 | 0                        | +6,750                    |
| <b>Total impact</b>                                                  | <b>+6,750</b>           | <b>0</b>                 | <b>+6,750</b>          | <b>0</b>                 | <b>+6,750</b>             |

## Exercise 4.2.1

- 3) On 14/07/2024, EFG, having regained financial stability following an unexpected new contract, pays the entire amount owed to ABC by bank transfer.

## Exercise 4.2.1 – Operation #3

- Journal entry

| Date       | N° SCA |        | Name                                                                   | Amount (€) |        |
|------------|--------|--------|------------------------------------------------------------------------|------------|--------|
|            | Debit  | Credit |                                                                        | Debit      | Credit |
| 14-07-2024 | 550.0  |        | Credit institutions: Current account                                   | 72,600     |        |
|            | 409    |        | Amounts written down - recorded (-)                                    | 27,000     |        |
|            |        | 407    | Doubtful amounts                                                       |            | 72,600 |
|            |        | 6341   | Amounts written down on trade debtors within one year: Write-backs (-) |            | 27,000 |



## Exercise 4.2.1 – Operation #3

- Impact on cash flows

| Timing                                                               | CF <sub>op</sub><br>(1) | CF <sub>inv</sub><br>(2) | FCF<br>(3) = (1) + (2) | CF <sub>fin</sub><br>(4) | Δ CASH<br>(5) = (3) + (4) |
|----------------------------------------------------------------------|-------------------------|--------------------------|------------------------|--------------------------|---------------------------|
| <b>Direct impact:</b><br>at accounting entry                         | +72,600                 | 0                        | +72,600                | 0                        | +72,600                   |
| <b>VAT indirect impact:</b><br>at VAT settlement                     | 0                       | 0                        | 0                      | 0                        | 0                         |
| <b>Corporate tax indirect impact:</b><br>at corporate tax settlement | -6,750                  | 0                        | -6,750                 | 0                        | -6,750                    |
| <b>Total impact</b>                                                  | <b>+65,850</b>          | <b>0</b>                 | <b>+65,850</b>         | <b>0</b>                 | <b>+65,850</b>            |

## Exercise 4.2.1

- 4) Alternative scenario: On 14/07/2024, EFG customer pays 40% of its debt by bank transfer to ABC company.

## Exercise 4.2.1 – Operation #4

- Journal entry

| Date       | N° SCA |        | Name                                        | Amount (€) |        |
|------------|--------|--------|---------------------------------------------|------------|--------|
|            | Debit  | Credit |                                             | Debit      | Credit |
| 14-07-2024 | 550,0  |        | Credit institutions: Current account        | 29,040     |        |
|            | 409    |        | Amounts written down - recorded (-)         | 27,000     |        |
|            | 411    |        | VAT receivable                              | 7,560      |        |
|            | 642    |        | Capital losses on disposal of trade debtors | 9,000      |        |
|            |        | 407    | Doubtful amounts                            |            | 72,600 |

The customer pays 40% of their debt, i.e.  $72,600 \times 40\% = \text{€}29,040$  including VAT (corresponding to  $\text{€}24,000$  excluding VAT).

- The loss on the pre-VAT receivable ultimately amounts to  $\text{€}36,000$ . The final additional loss on the receivable (= capital loss on realisation of the receivable) therefore amounts to  $\text{€}9,000$ .
- As ABC ultimately only received  $\text{€}5,040$  in VAT on the sale, the VAT payable to the tax authorities can be adjusted. Having already paid  $\text{€}12,600$  in the third quarter of 2023, ABC is therefore entitled to a refund of  $\text{€}12,600 - \text{€}5,040 = \text{€}7,560$ .
  - Ultimately, the company will have collected and paid VAT =  $24,000 \times 21\% = \text{€}5,040$ .

## Exercise 4.2.1 – Operation #4

- Impact on cash flows

| Timing                                                               | CFop<br>(1)    | CFinv<br>(2) | FCF<br>(3) = (1) + (2) | CFfin<br>(4) | Δ CASH<br>(5) = (3) + (4) |
|----------------------------------------------------------------------|----------------|--------------|------------------------|--------------|---------------------------|
| <b>Direct impact:</b><br>at accounting entry                         | +29,040        | 0            | +29,040                | 0            | +29,040                   |
| <b>VAT indirect impact:</b><br>at VAT settlement                     | +7,560         | 0            | +7,560                 | 0            | +7,560                    |
| <b>Corporate tax indirect impact:</b><br>at corporate tax settlement | +2,250         | 0            | +2,250                 | 0            | +2,250                    |
| <b>Total impact</b>                                                  | <b>+38,850</b> | <b>0</b>     | <b>+38,850</b>         | <b>0</b>     | <b>+38,850</b>            |

## Exercise 4.2.2

For each of the exercises below, record the transactions in the journal entry using PCMN and identify the direct and indirect impacts on cash flows for ABC.

- 1) On 31/08/2023, ABC makes a sale on credit for €20,000 + 21% VAT to its customer IJK and grants them a commercial discount of 8%.

## Exercise 4.2.2 – Operation #1

- Journal entry

| Date       | N° SCA |        | Name                                      | Amount (€) |        |
|------------|--------|--------|-------------------------------------------|------------|--------|
|            | Debit  | Credit |                                           | Debit      | Credit |
| 31-08-2023 | 400    |        | Customers                                 | 22,264     |        |
|            | 708    |        | Discounts, allowances and rebates allowed | 1,600      |        |
|            |        | 700    | Sales and services rendered               |            | 20,000 |
|            |        | 451    | VAT payable                               |            | 3,864  |

## Exercise 4.2.2 – Operation #1

- Impact on cash flows

| Timing                                                               | CFop<br>(1)   | CFinv<br>(2) | FCF<br>(3) = (1) + (2) | CFfin<br>(4) | Δ CASH<br>(5) = (3) + (4) |
|----------------------------------------------------------------------|---------------|--------------|------------------------|--------------|---------------------------|
| <b>Direct impact:</b><br>at accounting entry                         | 0             | 0            | 0                      | 0            | 0                         |
| <b>VAT indirect impact:</b><br>at VAT settlement                     | -3,864        | 0            | -3,864                 | 0            | -3,864                    |
| <b>Corporate tax indirect impact:</b><br>at corporate tax settlement | -4,600        | 0            | -4,600                 | 0            | -4,600                    |
| <b>Total impact</b>                                                  | <b>-8,464</b> | <b>0</b>     | <b>-8,464</b>          | <b>0</b>     | <b>-8,464</b>             |

## Exercise 4.2.2

- 2) On 15/11/2023, customer IJK is declared bankrupt and ABC receives a letter from the receiver informing it that the debt owed by its customer is definitively irrecoverable.



## Exercise 4.2.2 – Operation #2

- Journal entry

| Date       | N° SCA |        | Name                                        | Amount (€) |        |
|------------|--------|--------|---------------------------------------------|------------|--------|
|            | Debit  | Credit |                                             | Debit      | Credit |
| 15-11-2023 | 411    |        | VAT receivable                              | 3,864      |        |
|            | 642    |        | Capital losses on disposal of trade debtors | 18,400     |        |
|            |        | 400    | Customers                                   |            | 22,264 |

## Exercise 4.2.2 – Operation #2

- Impact on cash flows

| Timing                                                               | CFop<br>(1)   | CFinv<br>(2) | FCF<br>(3) = (1) + (2) | CFfin<br>(4) | Δ CASH<br>(5) = (3) + (4) |
|----------------------------------------------------------------------|---------------|--------------|------------------------|--------------|---------------------------|
| <b>Direct impact:</b><br>at accounting entry                         | 0             | 0            | 0                      | 0            | 0                         |
| <b>VAT indirect impact:</b><br>at VAT settlement                     | +3,864        | 0            | +3,864                 | 0            | +3,864                    |
| <b>Corporate tax indirect impact:</b><br>at corporate tax settlement | +4,600        | 0            | +4,600                 | 0            | +4,600                    |
| <b>Total impact</b>                                                  | <b>+8,464</b> | <b>0</b>     | <b>+8,464</b>          | <b>0</b>     | <b>+8,464</b>             |

## Exercise 4.3

It is now 2023. Truffe has owned a building for several years. Given the current condition of the building, the company is planning major asbestos removal work (which is required to meet environmental obligations) to be carried out in 2024. According to the quotes requested, the cost of this work is estimated at €125,000 (excluding VAT). The CEO contacts you as the company's financial advisor.

1) What should be recorded in the journal at the end of 2023?

## Exercise 4.3 – 1) Journal entry

- Journal entry

| Date       | N° SCA |        | Name                                                     | Amount (€) |         |
|------------|--------|--------|----------------------------------------------------------|------------|---------|
|            | Debit  | Credit |                                                          | Debit      | Credit  |
| 31-12-2023 | 6370   |        | Provisions for environmental obligations: Appropriations | 125,000    |         |
|            |        | 163    | Provisions for environmental obligations                 |            | 125,000 |

## Exercise 4.3

2) What are the impacts on the balance sheet and income statement?

## Exercise 4.3 – 2) Balance sheet and income statement

- Simplified BS and IS

| BALANCE SHEET |         |           |            |
|---------------|---------|-----------|------------|
| +31,250€      | ASSET   | LIABILITY | +31,250€   |
|               | FE      | CAP       |            |
|               |         | RS        |            |
|               |         | RES       |            |
|               | FA      | RE        | -93,750 €  |
|               |         | SUBS      |            |
|               |         | PRDT      | +125,000 € |
|               | FinA    | LTD       |            |
|               | INV     |           |            |
|               | AR      | AP        |            |
|               | Acc (A) | Acc(L)    |            |
|               | INVST   |           |            |
| + 31,250 €    | CASH    |           |            |

| INCOME STATEMENT |                    |        |     |
|------------------|--------------------|--------|-----|
| 93,750 €         | EXPENSES           | INCOME | 0 € |
| 125,000 €        | OpExp              | OpInc  |     |
|                  | <b>EBIT</b>        |        |     |
|                  | <b>-125,000 €</b>  |        |     |
|                  | FinExp             | FinInc |     |
|                  | <b>EBT</b>         |        |     |
|                  | <b>-125,000 €</b>  |        |     |
| -31,250 €        | TAX                | TAX    |     |
|                  | <b>Profit/Loss</b> |        |     |
|                  | <b>-93,750 €</b>   |        |     |

## Exercise 4.3

- 3) Identify the direct and indirect impacts on cash flows.

## Exercise 4.3 – 3) Cash flows

- Impact on cash flows

| Timing                                                               | CF <sub>op</sub><br>(1) | CF <sub>inv</sub><br>(2) | FCF<br>(3) = (1) + (2) | CF <sub>fin</sub><br>(4) | Δ CASH<br>(5) = (3) + (4) |
|----------------------------------------------------------------------|-------------------------|--------------------------|------------------------|--------------------------|---------------------------|
| <b>Direct impact:</b><br>at accounting entry                         | 0                       | 0                        | 0                      | 0                        | 0                         |
| <b>VAT indirect impact:</b><br>at VAT settlement                     | 0                       | 0                        | 0                      | 0                        | 0                         |
| <b>Corporate tax indirect impact:</b><br>at corporate tax settlement | +31,250                 | 0                        | +31,250                | 0                        | +31,250                   |
| <b>Total impact</b>                                                  | <b>+31,250</b>          | <b>0</b>                 | <b>+31,250</b>         | <b>0</b>                 | <b>+31,250</b>            |



## Exercise 4.3

At the end of December 2024, the work is completed and the bill comes to €118,000. The CEO of Truffe sends you this email: :

*«My Dear Advisor,*

*Good news, we have just received the asbestos removal invoice, which amounts to €118,000 instead of the €125,000 we had budgeted for! That's another €7,000 profit in the pocket for Truffe! However, I would like to share a concern with you. My CFO came to see me this morning and shared his concerns about paying the invoice. Indeed, our bank account currently has a balance of €10,000. I immediately reassured him by reminding him that the provision already covered more than the €118,000 invoice. My CFO was not reassured by this argument. Why?*

*I look forward to hearing from you.*

*Truffe CEO »*

4) What do you respond to Truffe CEO?

## Exercise 4.3 – 4) Response to the CEO

Is there actually a profit of €7,000 in 2024? As the final amount of the invoice for the work is €7,000 less than the amount initially set aside, there will indeed be an impact on the accounting result (before tax) of +€7,000 in 2024, resulting from the reversal of the provision.

Recognising provisions amounts to allocating an expense, which has not yet been invoiced, to one or more previous financial years.

There is no cash movement in 2023 ! (cf, point 3)

→ Following the works in 2024, we will still have to pay for the entire cost of the works!



**Provisions ≠ savings!**

## Exercise 4.3

- 5) Record transactions in the Journal entry and identify direct and indirect impacts on cash flows.

## Exercise 4.3 – 5) Journal entry and cash flows

- Journal entry

| Date       | N° SCA |        | Name                                                                              | Amount (€) |         |
|------------|--------|--------|-----------------------------------------------------------------------------------|------------|---------|
|            | Debit  | Credit |                                                                                   | Debit      | Credit  |
| XX-XX-2024 | 61     |        | Services and other goods                                                          | 118,000    |         |
|            |        | 440    | Suppliers                                                                         |            | 118,000 |
| 31-12-2024 | 163    |        | Provisions for environmental obligations                                          | 125,000    |         |
|            |        | 6371   | Provisions for environmental obligations: <u>Uses</u> and write-backs             |            | 118,000 |
|            |        | 6371   | Provisions pour obligations environnementales: <u>Uses</u> and <u>write-backs</u> |            | 7,000   |

## Exercise 4.3 – 5) Livre-journal et cash flows

- Impact on cash flows

| Timing                                                               | CF <sub>op</sub><br>(1) | CF <sub>inv</sub><br>(2) | FCF<br>(3) = (1) + (2) | CF <sub>fin</sub><br>(4) | Δ CASH<br>(5) = (3) + (4) |
|----------------------------------------------------------------------|-------------------------|--------------------------|------------------------|--------------------------|---------------------------|
| <b>Direct impact:</b><br>at accounting entry                         | 0                       | 0                        | 0                      | 0                        | 0                         |
| <b>VAT indirect impact:</b><br>at VAT settlement                     | 0                       | 0                        | 0                      | 0                        | 0                         |
| <b>Corporate tax indirect impact:</b><br>at corporate tax settlement | -1,750                  | 0                        | -1,750                 | 0                        | -1,750                    |
| <b>Total impact</b>                                                  | <b>-1,750</b>           | <b>0</b>                 | <b>-1,750</b>          | <b>0</b>                 | <b>-1,750</b>             |

## Exercise 4.3

Now imagine two alternative scenarios. In 2024, the work is completed and the final bill comes to:

- a) Scenario 1: €125,000
  - b) Scenario 2: €131,000
- 6) For each of the above scenarios, record the transactions in the journal entry and identify the direct and indirect impacts on cash.

## Exercise 4.3 – 6a) Invoice= 125,000 €

- Journal entry

| Date       | N° SCA |        | Name                                                                  | Amount (€) |         |
|------------|--------|--------|-----------------------------------------------------------------------|------------|---------|
|            | Debit  | Credit |                                                                       | Debit      | Credit  |
| XX-XX-2024 | 61     |        | Services and other goods                                              | 125,000    |         |
|            |        | 440    | Suppliers                                                             |            | 125,000 |
| 31-12-2024 | 163    |        | Provisions for environmental obligations                              | 125,000    |         |
|            |        | 6371   | Provisions for environmental obligations: <u>Uses</u> and write-backs |            | 125,000 |

## Exercise 4.3 – 6a) Facture de 125,000 €

- Impact on cash flows

| Timing                                                               | CFop<br>(1) | CFinv<br>(2) | FCF<br>(3) = (1) + (2) | CFfin<br>(4) | Δ CASH<br>(5) = (3) + (4) |
|----------------------------------------------------------------------|-------------|--------------|------------------------|--------------|---------------------------|
| <i>Direct impact:</i><br>at accounting entry                         | 0           | 0            | 0                      | 0            | 0                         |
| <i>VAT indirect impact:</i><br>at VAT settlement                     | 0           | 0            | 0                      | 0            | 0                         |
| <i>Corporate tax indirect impact:</i><br>at corporate tax settlement | 0           | 0            | 0                      | 0            | 0                         |
| <b>Total impact</b>                                                  | <b>0</b>    | <b>0</b>     | <b>0</b>               | <b>0</b>     | <b>0</b>                  |



## Exercise 4.3 – 6b) Invoice= 131,000 €

- Journal entry

| Date       | N° SCA |        | Name                                                                  | Amount (€) |         |
|------------|--------|--------|-----------------------------------------------------------------------|------------|---------|
|            | Debit  | Credit |                                                                       | Debit      | Credit  |
| XX-XX-2024 | 61     |        | Services and other goods                                              | 131,000    |         |
|            |        | 440    | Suppliers                                                             |            | 131,000 |
| 31-12-2024 | 163    |        | Provisions for environmental obligations                              | 125,000    |         |
|            |        | 6371   | Provisions for environmental obligations: <u>Uses</u> and write-backs |            | 125,000 |

## Exercise 4.3 – 6b) Invoice=131,000 €

- Impact on cash flows

| Timing                                                               | CF <sub>op</sub><br>(1) | CF <sub>inv</sub><br>(2) | FCF<br>(3) = (1) + (2) | CF <sub>fin</sub><br>(4) | Δ CASH<br>(5) = (3) + (4) |
|----------------------------------------------------------------------|-------------------------|--------------------------|------------------------|--------------------------|---------------------------|
| <b>Direct impact:</b><br>at accounting entry                         | 0                       | 0                        | 0                      | 0                        | 0                         |
| <b>VAT indirect impact:</b><br>at VAT settlement                     | 0                       | 0                        | 0                      | 0                        | 0                         |
| <b>Corporate tax indirect impact:</b><br>at corporate tax settlement | +1,500                  | 0                        | +1,500                 | 0                        | +1,500                    |
| <b>Total impact</b>                                                  | <b>+1,500</b>           | <b>0</b>                 | <b>+1,500</b>          | <b>0</b>                 | <b>+1,500</b>             |

## Exercise 4.3

- 7) For each of the above scenarios, what are the incremental impacts on the balance sheet and income statement?

## Exercise 4.3 – 7a) Invoice= 118,000 €

| BALANCE SHEET |         |           |            |
|---------------|---------|-----------|------------|
| -1,750 €      | ASSET   | LIABILITY | -1,750 €   |
|               | FE      | CAP       |            |
|               |         | RS        |            |
|               |         | RES       |            |
|               | FA      | RE        | 5,250 €    |
|               |         | SUBS      |            |
|               |         | PRDT      | -125,000 € |
|               | FinA    | LTD       |            |
|               | INV     |           |            |
|               | AR      | AP        | +118,000 € |
|               | Acc (A) | Acc(L)    |            |
|               | INVST   |           |            |
| -1,750 €      | CASH    |           |            |

| INCOME STATEMENT |                    |        |     |
|------------------|--------------------|--------|-----|
| -5,250 €         | EXPENSES           | INCOME | 0 € |
| -7,000 €         | OpExp              | OpInc  |     |
|                  | <b>EBIT</b>        |        |     |
|                  | 7,000 €            |        |     |
|                  | FinExp             | FinInc |     |
|                  | <b>EBT</b>         |        |     |
|                  | 7,000 €            |        |     |
| 1,750 €          | TAX                | TAX    |     |
|                  | <b>Profit/Loss</b> |        |     |
|                  | 5,250 €            |        |     |

## Exercise 4.3 – 7b) Invoice=125,000 €

| BALANCE SHEET |         |           |            |
|---------------|---------|-----------|------------|
| 0 €           | ASSET   | LIABILITY | 0 €        |
|               | FE      | CAP       |            |
|               |         | RS        |            |
|               |         | RES       |            |
|               | FA      | RE        | 0 €        |
|               |         | SUBS      |            |
|               |         | PRDT      | -125,000 € |
|               | FinA    | LTD       |            |
|               | INV     |           |            |
|               | AR      | AP        | +125,000 € |
|               | Acc (A) | Acc(L)    |            |
|               | INVST   |           |            |
| 0 €           | CASH    |           |            |

| INCOME STATEMENT |                    |        |     |
|------------------|--------------------|--------|-----|
| 0 €              | EXPENSES           | INCOME | 0 € |
| 0 €              | OpExp              | OpInc  |     |
|                  | <b>EBIT</b>        |        |     |
|                  | 0 €                |        |     |
|                  | FinExp             | FinInc |     |
|                  | <b>EBT</b>         |        |     |
|                  | 0 €                |        |     |
| 0 €              | TAX                | TAX    |     |
|                  | <b>Profit/Loss</b> |        |     |
|                  | 0 €                |        |     |

## Exercise 4.3 – 7c) Invoice= 131,000 €

| BALANCE SHEET |         |           |            |
|---------------|---------|-----------|------------|
| +1,500 €      | ASSET   | LIABILITY | +1,500 €   |
|               | FE      | CAP       |            |
|               |         | RS        |            |
|               |         | RES       |            |
|               | FA      | RE        | -4,500 €   |
|               |         | SUBS      |            |
|               |         | PRDT      | -125,000 € |
|               | FinA    | LTD       |            |
|               | INV     |           |            |
|               | AR      | AP        | +131,000 € |
|               | Acc (A) | Acc(L)    |            |
|               | INVST   |           |            |
| +1,500 €      | CASH    |           |            |

| INCOME STATEMENT |                    |        |     |
|------------------|--------------------|--------|-----|
| + 4,500 €        | EXPENSES           | INCOME | 0 € |
| + 6,000 €        | OpExp              | OpInc  |     |
|                  | <b>EBIT</b>        |        |     |
|                  | -6,000 €           |        |     |
|                  | FinExp             | FinInc |     |
|                  | <b>EBT</b>         |        |     |
|                  | -6,000 €           |        |     |
| -1,500 €         | TAX                | TAX    |     |
|                  | <b>Profit/Loss</b> |        |     |
|                  | -4,500 €           |        |     |